

Question 4 · Unit 1 · 8 Marks

Discuss the importance of HRD in improving individual and organisational performance.

Introduction

Performance means achieving desired results — for an employee (quality, quantity, behaviour) and for the organisation (profit, service, survival, reputation). HRD improves performance not by shouting ‘work harder’, but by raising ability, motivation, role clarity and teamwork. The notes say human resources have unlimited potential if a climate exists to use it. That is why HRD is important for performance.

Detailed points

- 1. Ability: closing the skill gap.** A simple formula in training literature is: Training need = Standard performance – Actual performance, when the cause is lack of knowledge/skill. HRD identifies this gap and provides learning. A machine operator who is trained on a new CNC machine produces more with fewer defects. Individual performance rises first; organisational output follows.
- 2. Role clarity through appraisal and feedback.** Many people perform poorly because they do not know what ‘good’ looks like. Developmental appraisal and counselling clarify goals and behaviours. When a teacher or a sales executive receives specific feedback, effort is directed, not wasted. Clear roles reduce conflict and rework, which are hidden performance killers.
- 3. Motivation and morale.** HRD satisfies higher-order needs. Employees who see a future, receive coaching and are treated with dignity show more discretionary effort — they do more than the minimum. Notes list benefits of training and development: higher job satisfaction, motivation, lower turnover. Motivated people sustain performance; frightened people only show short bursts.
- 4. Using potential, not only present skill.** Potential appraisal and career planning place people where they can contribute more. Promoting or rotating the right person improves organisational performance (better decisions) and individual performance (person–job fit). Ignoring potential wastes human capital — the organisation pays a salary but uses 50% of the person.
- 5. Team and collaboration effects.** Organisational performance is not the sum of isolated individuals. HRD develops dyads (boss–subordinate) and teams so that coordination improves. Quality circles, group learning and OD reduce inter-department blame. A hospital’s performance, for example, depends on nurses, doctors and labs working as a system — that is HRD culture.
- 6. Adaptability, innovation and customer service.** In a changing environment, yesterday’s high performance becomes today’s failure. HRD creates an enabling culture where people experiment and learn. That improves innovation, adoption of technology and service to customers — the notes say HRD’s focus is a superior workforce serving customers.
- 7. Reducing negative performance drains.** Errors, accidents, absenteeism and attrition destroy performance. HRD (safety training, counselling, career paths) reduces these. It is cheaper to develop people than to keep replacing them. Organisational performance therefore improves through cost saved as well as output gained.
- 8. Strategic, long-term performance.** Short-term pressure can raise numbers by overtime or fear. HRD builds long-term performance: leadership pipeline, self-renewing organisation, and a climate that continues after one manager leaves. That is organisational effectiveness, not a one-quarter spike.

Conclusion. *In the exam, connect individual performance (skill, feedback, motivation, fit) to organisational performance (teamwork, innovation, lower waste, strategy). HRD is important because people — unlike machines — can grow, and performance grows with them if climate and systems support learning.*